LAND STERLING

REPORT ON RENTAL MARKET RESEARCH FOR KHALIFA UNIVERSITY, SAS AL NAKHL CAMPUS

Assessment Date: 07th September 2022

FOR KHALIFA UNIVERSITY

PROJECT BACKGROUND

Khalifa University, hereafter referred to as the client, currently owns a university campus in Sas Al Nakhl, Abu Dhabi. The campus includes components like classrooms, laboratories, offices, auditoriums, workshops, libraries, sports facilities, student accommodation and retail units. The client wishes to undertake a detailed market research for determining the achievable rentals for components like offices, laboratories, auditoriums and retail units.

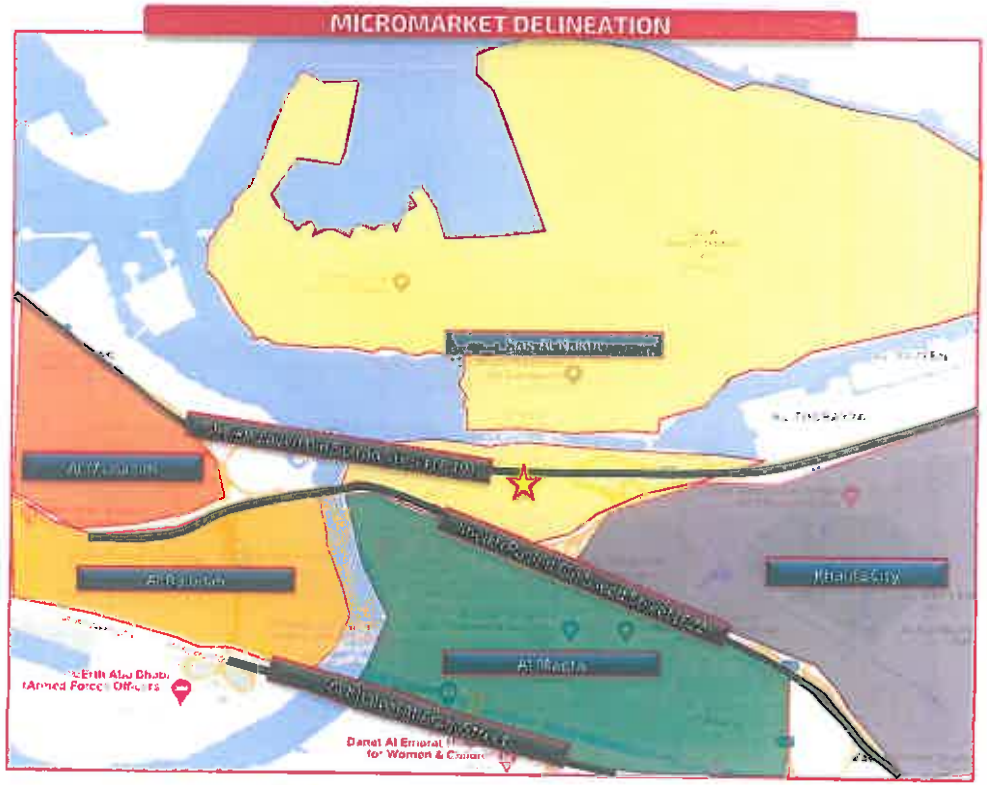
In the context of the above, the client wishes to engage the services of a professional real estate organization for undertaking detailed market research for determining the achievable rentals for the portfolio of properties from a market and financial perspective.

In this regard, the Consulting and Valuation division at Land Sterling Property Consultants LLC is pleased to offer its advisory services for undertaking detailed market research for determining the achievable rentals for the portfolio of properties located across UAE

The subsequent sections of this interim report will detail the approach and methodology, market overview and rental assessment derived as part of the rental assessment undertaken for **Office, Retail, Laboratory and Venue Spaces** forming part of the assessment.

Sas Al Nakhl – AN OVERVIEW

- Sas Al Nakhl is located in the eastern periphery of Abu Dhabi City
- The subject micromarket is located in close proximity to the Sheikh Zayed Bridge, which connects the Abu Dhabi Island to the main land.
- The micromarket is predominantly characterized by institutional and educational developments. Conglomerates like ADNOC (Abu Dhabi National Oil Company) have their offices in the subject micromarket.
- The micromarket is surrounded by communities like Al Maqta, Al Rawdha, Al Muntazah and Khalifa City. Predominant presence of residential dwellings could be observed in these neighborhoods with limited presence of commercial developments and a few stand-alone retail developments.
- The region is also characterized by presence of prominent hospitality developments like Shangri – La, Hotel Fairmont situated on the waterfront periphery of Al Maqta Community.



LOCATION MAP – KHALIFA UNIVERSITY (SAN CAMPUS)

KEY FACTS

Parameters	Details
	Total Net Internal Area – Approx. 66,125 sq.mt
Site Description	**Office Space: Approx. 9,517 sq.mt** **Retail Space: Approx. 228 sq.mt** **Laboratory Space: Approx. 7,036 sq.mt** **Venue Space: Approx. 533 sq.mt (Cumulative Capacity of 389 pax)** The internal area comprises of classrooms, laboratories, auditoriums, offices, workshops, stores, libraries, meeting rooms, etc. **Location:** The subject property is located in Sas Al Nakhl community which is adjacent to Al Maqta, Al Rawdah and Khalifa City micro-markets.
Accessibility	The primary access to the property can be gained through internal community roads emanating from Sheikh Zayed Bin Sultan Street (E10)
Connectivity	Well-connected to all parts of the city through road.
Profile of surrounding developments	The immediate surroundings of the property are characterised by the presence of institutional developments. Presence of residential, hospitality developments and a few commercial/ retail developments could be observed in the neighbouring micromarkets.
Profile of Development	The Subject Property is currently being operated as an Educational Institution which is predominantly used for end-use purposes with limited spaces offered for external tenants. The nature of these spaces are predominantly retail in nature.

MAP SHOWING LOCATION OF THE SUBJECT PROPERTY

Subject Property — Major Roads

IMAGES OF THE SUBJECT PROPERTY

External view of property

External view of property

Internal view of property

Common Area of the property

Internal view of property

Internal view of property

COMPARABLE PROPERTIES – OFFICE SPACES

S.No	Location	Asking/ Transaction	Type	Leasable Area (In Sq.mt)	Annual Rental (AED/Annum)	Rental Value (AED/sq.mt)
1	Rawdhat	Asking	Unfurnished (Shell & Core)	921	1,105,200	1,200
2	Rawdhat	Asking	Unfurnished (Shell & Core)	108	129,144	1,200
3	Khalifa Park	Asking	Fitted Out	293	235,200	802
4	Khalifa Park	Asking	Fitted Out	177	177,000	1,000
5	Khalifa City A	Asking	Unfurnished	1,858	2,000,000	1,076

MAP SHOWING COMPARABLE PROPERTIES

Subject Property Comparable Properties

As mentioned in our previous sections, the subject micromarket has limited/ negligible presence of retail and commercial spaces. In view of this, we have compiled and analyzed comparable commercial spaces in and around the subject micromarket. For the purpose of this exercise, we have considered markets such as Al Maqta, Al Rawdha, Al Muntazah and Khalifa City, which in our opinion are in close proximity to the subject property. The aforementioned table enumerates the details of the comparable properties available for leasing in the immediate vicinity of the subject property. It was also understood that the rental values for the properties in and around the subject micro-market are influenced by factors like size, location, profile of development (amenities, facilities), age and quality. In addition, based on our interactions with relevant real estate players like developers, brokers and landlords, it was also observed that there is a scope for negotiations, given the current dynamics of the market. The rental value assumption for the subject development has been arrived by providing appropriate premiums/ discounts (in the range of 0% to 20%) to each of the above-mentioned factors.

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 1 (C1)	1,200	**Property Overview:** The Comparable Property (C1) is a shell & core office space located in Rawdhat community in close proximity to Al Bateen Executive Airport. C1 is located in a mid-rise commercial building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C1 admeasures a size of approx. 921 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 9,517 sq.mt (spread across various units with size ranging from 4 sq.mt to 193 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 3% to 6% (say approx. 5%) on account of the size characteristics. **Location:** C1 is located in the periphery of Rawdhat micromarket and is located in proximity to an established community vis-à-vis the SP, which is located further away from the Central Business District (CBD) of Abu Dhabi. On account of this, we have applied a discount to the subject property in the range of 10% to 20% (say approx. 15%) on account of the locational attributes. **Amenities:** C1 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C1 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied. **Profile of Development:** C1 is located in a mid-rise commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C1 is a space offered in a fairly new building which was constructed recently with all contemporary services and architecture, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor **Based on the above analysis, the adjusted capital value of the subject property in comparison to C1 is approx. AED 775 per sq.mt on leasable area.**

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 2 (C2)	1,200	**Property Overview:** The Comparable Property (C2) is a shell & core office space located in Rawdhat community in close proximity to Al Bateen Executive Airport. C2 is located in a mid-rise commercial building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C2 admeasures a size of approx. 108 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 9,517 sq.mt (spread across various units with size ranging from 4 sq.mt to 193 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 5% to 15% (say approx. 10%) on account of the size characteristics. **Location:** C2 is located in the periphery of Rawdhat micromarket and is located in proximity to an established community vis-à-vis the SP, which is located further away from the Central Business District (CBD) of Abu Dhabi. On account of this, we have applied a discount to the subject property in the range of 10% to 20% (say approx. 15%) on account of the locational attributes. **Amenities:** C2 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C2 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied. **Profile of Development:** C2 is located in a mid-rise commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C2 is a space offered in a fairly new building which was constructed recently with all contemporary services and architecture, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor **Based on the above analysis, the adjusted capital value of the subject property in comparison to C2 is approx. AED 780 per sq.mt on leasable area.**

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 3 (C3)	802	**Property Overview:** The Comparable Property (C3) is a fitted out office space located in Ministries Complex. C3 is located in a commercial building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C3 admeasures a size of approx. 293 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 9,517 sq.mt (spread across various units with size ranging from 4 sq.mt to 193 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 5% to 10% (say approx. 7.5%) on account of the size characteristics. **Location:** C3 is located in the periphery of Ministries Complex micromarket and is located in proximity to an established community vis-à-vis the SP, which is located further away from the Central Business District (CBD) of Abu Dhabi. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes. **Amenities:** C3 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C3 & SP are deemed to carry similar traits in terms of amenties. However, the unit is being offered as a fitted out space. On account of this, we have applied a discount to the subject property in the range of 3% to 6% (say approx. 5%) on account of the locational attributes. **Profile of Development:** C3 is located in a mid-rise commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C3 is a space offered in a fairly new building which was constructed recently with all contemporary services, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 3% to 6% (say approx. 5%) on account of the age factor **Based on the above analysis, the adjusted capital value of the subject property in comparison to C3 is approx. AED 642 per sq.mt on leasable area.**

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 4 (C4)	1,000	**Property Overview:** The Comparable Property (C4) is a fitted out office space located in Ministries Complex. C4 is located in a commercial building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C4 admeasures a size of approx. 177 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 9,517 sq.mt (spread across various units with size ranging from 4 sq.mt to 193 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 5% to 15% (say approx. 10%) on account of the size characteristics. **Location:** C4 is located in the heart of Ministries Complex micromarket and is located in proximity to an established community vis-à-vis the SP, which is located further away from the Central Business District (CBD) of Abu Dhabi. On account of this, we have applied a discount to the subject property in the range of 3% to 6% (say approx.5%) on account of the locational attributes. **Amenities:** C4 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C4 & SP are deemed to carry similar traits in terms of amenties. However, the unit is being offered as a fitted out space with brand new fit-outs. On account of this, we have applied a discount to the subject property in the range of 5% to 10% (say approx. 7.5%) on account of the locational attributes. **Profile of Development:** C4 is located in a mid-rise commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C4 is a space offered in a fairly new building which was constructed recently with all contemporary services and architecture, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factors **Based on the above analysis, the adjusted capital value of the subject property in comparison to C4 is approx. AED 675 per sq.mt on leasable area.**

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 5 (C5)	1,076	**Property Overview:** The Comparable Property (C5) is a shell & core space located in Khalifa City A near Zayed University. C5 is offered as full floor space in a commercial building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C5 admeasures a size of approx. 1,858 sq.mt and is substantially lower in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 9,517 sq.mt (spread across various units with size ranging from 4 sq.mt to 193 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a discount in the range of 3% to 6% (say approx. 5%) on account of the size characteristics. **Location:** C5 is located in Khalifa City A micromarket and is located in proximity to a lesser established community vis-à-vis the SP, which is located comparatively near to the Central Business District (CBD) of Abu Dhabi. On account of this, we have applied a premium to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes. **Amenities:** C5 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C5 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied. **Profile of Development:** C5 is located in a mid-rise commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C5 is a space offered in a brand new building which was constructed recently with all contemporary services, latest facility management technologies and architecture, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 20% to 30% (say approx. 25%) on account of the age and quality factors **Based on the above analysis, the adjusted capital value of the subject property in comparison to C5 is approx. AED 780 per sq.mt on leasable area.**

RENT DISCOVERY ASSESSMENT – KHALIFA UNIVERSITY (SAN CAMPUS – OFFICE SPACE)

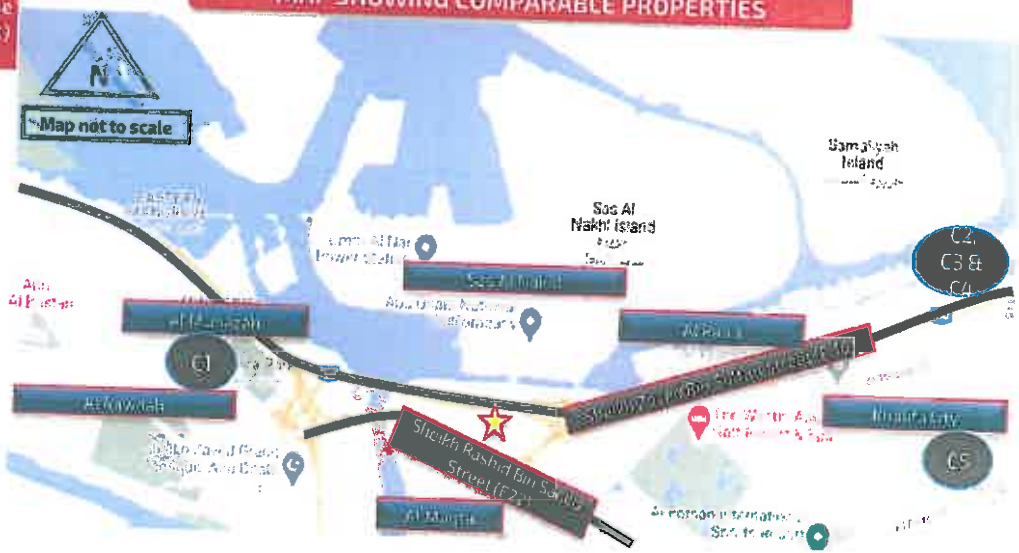
S.No	Location	Asking/ Transaction	Type	Leasable Area (In Sq.mt)	Annual Rental (AED/Annum)	Rental Value (AED/sq.mt)	Adjusted Rental Value (AED/sq.mt)
1	Rawdhat	Asking	Unfurnished (Shell & Core)	9,913	1,105,200	1,200	775
2	Rawdhat	Asking	Unfurnished (Shell & Core)	1,158	129,144	1,200	780
3	Khalifa Park	Asking	Fitted Out	3,156	235,200	802	642
4	Khalifa Park	Asking	Fitted Out	1,905	177,000	1,000	675
5	Khalifa City A	Asking	Unfurnished	20,000	2,000,000	1,076	780

Based on the aforementioned comparable analysis, the average base rental value for office spaces pertaining to the subject property is assumed to be in the range of AED 753 per sq.mt to AED 861 per sq.mt on shell & core basis. However, considering the inventory to be offloaded with the competing supply within a stipulated timeframe and the nature of the development (office spaces in an educational development vis-à-vis a typical office space), we are of the opinion that a discount of 5% will be applicable on the assumed based rental value.

COMPARABLE PROPERTIES – RETAIL SPACES

S.No	Location	Asking/ Transaction	Type	Leasable Area (In Sq mt)	Annual Rental (AED/Annum)	Rental Value (AED/sq.mt)
1	Khalifa Park	Asking	Unfurnished (Shell & Core)	253	379,500	1,501
2	Al Raha	Asking	Unfurnished (Shell & Core)	229	342,000	1,494
3	Al Raha	Asking	Unfurnished (Shell & Core)	396	554,400	1,400
4	Al Raha	Asking	Unfurnished (Shell & Core)	298	417,200	1,400
5	Khalifa City A	Asking	Unfurnished (Fitted out)	200	320,000	1,600

MAP SHOWING COMPARABLE PROPERTIES



As mentioned in our previous sections, the subject micromarket has limited/ negligible presence of retail and commercial spaces. In view of this, we have compiled and analyzed comparable commercial spaces in and around the subject micromarket. For the purpose of this exercise, we have considered markets such as Al Maqta, Al Rawdha, Al Muntazah and Khalifa City, which in our opinion are in close proximity to the subject property. The aforementioned table enumerates the details of the comparable properties available for leasing in the immediate vicinity of the subject property. It was also understood that the rental values for the properties in and around the subject micro-market are influenced by factors like size, location, profile of development (amenities, facilities), age and quality. In addition, based on our interactions with relevant real estate players like developers, brokers and landlords, it was also observed that there is a scope for negotiations, given the current dynamics of the market. The rental value assumption for the subject development has been arrived by providing appropriate premiums/ discounts (in the range of 0% to 20%) to each of the above-mentioned factors.

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 1 (C1)	1,501	**Property Overview:** The Comparable Property (C1) is a shell & core retail space located in Rawdhat community in close proximity to Al Bateen Executive Airport. C1 is located in a mixed use building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C1 admeasures a size of approx. 253 sq.mt and is similar in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 228 sq.mt (spread across various units with size ranging from 4.5 sq.mt to 150 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Both C1 & SP are deemed to carry similar traits in terms of size. Hence no premiums or discounts have been applied. **Location:** C1 is located in the periphery of Rawdhat micromarket and is located in proximity to an established community vis-à-vis the SP, which is located further away from the Central Business District (CBD) of Abu Dhabi. On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the locational attributes. **Amenities:** C1 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C1 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied. **Accessibility & Visibility:** C1 is being offered with excellent visibility & accessibility traits which in retail industry is a key parameter, as it is one of the determinants for footfall. The retail spaces in SP are located within key hubs of the campus, however has restricted exposure to a larger crowd. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes. **Profile of Development:** C1 is located in a mixed use independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C1 is a space offered in a fairly new building which was constructed recently with all contemporary services and architecture, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor **Based on the above analysis, the adjusted capital value of the subject property in comparison to C1 is approx. AED 1,163 per sq.mt on leasable area.**

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 2 (C2)	1,494	**Property Overview:** The Comparable Property (C2) is a shell & core retail space located in Al Raha community in close proximity to Al Raha creek. C2 is located in a commercial building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C2 admeasures a size of approx. 229 sq.mt and is similar in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 228 sq.mt (spread across various units with size ranging from 4.5 sq.mt to 150 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Both C2 & SP are deemed to carry similar traits in terms of size. Hence no premiums or discounts have been applied. **Location:** C2 is located in Al Raha micromarket and is located in proximity to a premium community vis-à-vis the SP, which is inferior to Al Raha in terms of profile of surroundings, infrastructure (social and physical) and situation (C2 has direct access to Al Raha Creek). On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the locational attributes. **Amenities:** C2 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C2 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied. **Accessibility & Visibility:** C2 is being offered with excellent visibility & accessibility traits which in retail industry is a key parameter, as it is one of the determinants for footfall. The retail spaces in SP are located within key hubs of the campus, however has restricted exposure to a larger crowd. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes. **Profile of Development:** C2 is located in a mixed use independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C2 is a space offered in a fairly new building which was constructed recently with all contemporary services and architecture, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor **Based on the above analysis, the adjusted capital value of the subject property in comparison to C2 is approx. AED 1,158 per sq.mt on leasable area.**

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 3 (C3)	1,400	**Property Overview:** The Comparable Property (C3) is a shell & core retail space located in Al Raha community in close proximity to Al Raha creek. C3 is located in a mixed use building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C3 admeasures a size of approx. 396 sq.mt and is larger in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 228 sq.mt (spread across various units with size ranging from 4.5 sq.mt to 150 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a premium in the range of 3% to 6% (say approx. 5%) on account of the size characteristics. **Location:** C3 is located in Al Raha micromarket and is located in proximity to a premium community vis-à-vis the SP, which is inferior to Al Raha in terms of profile of surroundings, infrastructure (social and physical) and situation. On account of this, we have applied a discount to the subject property in the range of 5% to 10% (say approx. 7.5%) on account of the locational attributes. **Amenities:** C3 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C3 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied. **Accessibility & Visibility:** C3 is being offered with excellent visibility & accessibility traits which in retail industry is a key parameter, as it is one of the determinants for footfall. The retail spaces in SP are located within key hubs of the campus, however has restricted exposure to a larger crowd. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes. **Profile of Development:** C3 is located in a mixed use independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C3 is a space offered in a fairly new building which was constructed recently with all contemporary services and architecture, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor **Based on the above analysis, the adjusted capital value of the subject property in comparison to C3 is approx. AED 1,190 per sq.mt on leasable area.**

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 4 (C4)	1,400	**Property Overview:** The Comparable Property (C4) is a shell & core retail space located in Al Raha community in close proximity to Al Raha creek. C4 is located in a mixed use building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C4 admeasures a size of approx. 298 sq.mt and is larger in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 228 sq.mt (spread across various units with size ranging from 4.5 sq.mt to 150 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Hence, we have adopted a premium in the range of 3% to 6% (say approx. 5%) on account of the size characteristics. **Location:** C4 is located in Al Raha micromarket and is located in proximity to a premium community vis-à-vis the SP, which is inferior to Al Raha in terms of profile of surroundings, infrastructure (social and physical) and situation. On account of this, we have applied a discount to the subject property in the range of 5% to 10% (say approx. 7.5%) on account of the locational attributes. **Amenities:** C4 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C4 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied. **Accessibility & Visibility:** C4 is being offered with excellent visibility & accessibility traits which in retail industry is a key parameter, as it is one of the determinants for footfall. The retail spaces in SP are located within key hubs of the campus, however has restricted exposure to a larger crowd. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes. **Profile of Development:** C4 is located in a mixed use independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C4 is a space offered in a fairly new building which was constructed recently with all contemporary services and architecture, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 5% to 15% (say approx. 10%) on account of the age and quality factor **Based on the above analysis, the adjusted capital value of the subject property in comparison to C3 is approx. AED 1,190 per sq.mt on leasable area.**

RENTAL DISCOVERY ASSESSMENT

Comparable Property	Rental Value (AED/sq.mt)	Comparable Analysis
Comparable Property 5 (C5)	1,600	**Property Overview:** The Comparable Property (C5) is a shell & core retail space located in Khalifa City A community in close proximity to Khalifa Square. C5 is located in a commercial building with all necessary amenities covered. **Negotiation Margin:** Based on our interactions with relevant parties, it was observed that the comparable property is available for listing and the negotiation margin is opined to be in the range of 3% to 6% (say approx. 5%) **Size:** C5 admeasures a size of approx. 200 sq.mt and is similar in terms of size vis-à-vis the subject property (SP) – which has a cumulative net internal area of approx. 228 sq.mt (spread across various units with size ranging from 4.5 sq.mt to 150 sq.mt). Based on our market research and experience of valuing similar properties, it is opined that smaller sized units will have more marketability due to attractive investment size vis-à-vis bigger sized units owing to catering to a limited set of potential buyers with an ideal investment appetite. Both C5 & SP are deemed to carry similar traits in terms of size. Hence no premiums or discounts have been applied. **Location:** C5 is located in Khalifa City A micromarket and is located in proximity to a lesser established community vis-à-vis the SP, which is located comparatively near to the Central Business District (CBD) of Abu Dhabi. On account of this, we have applied a premium to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes. **Amenities:** C5 offers all relevant amenities such as maintenance, elevators, 24/7 security, CCTV, prayer rooms and handicap facilities. Both C5 & SP are deemed to carry similar traits in terms of amenties. Hence no premiums or discounts have been applied. **Accessibility & Visibility:** C5 is being offered with excellent visibility & accessibility traits which in retail industry is a key parameter, as it is one of the determinants for footfall. The retail spaces in SP are located within key hubs of the campus, however has restricted exposure to a larger crowd. On account of this, we have applied a marginal discount to the subject property in the range of 0% to 5% (say approx. 2.5%) on account of the locational attributes. **Profile of Development:** C5 is located in a commercial independent building. Whereas, SP is an integrated community development with accesses to multiple streams of businesses and enjoys advantages of being an organized commercial building vis-à-vis the comparable property, which is an individual building. On account of this, we have applied a premium to the subject property in the range of 3% to 6% (say approx. 5%) on account of the profile of development **Age & Quality:** C5 is a space offered in a brand new building which was constructed recently with all contemporary services, utility as a showroom space and architecture, whereas the subject property is a fairly old development with outdated services and architecture. On account of this, we have applied a discount to the subject property in the range of 15% to 25% (say approx. 20%) on account of the age and quality factor **Based on the above analysis, the adjusted capital value of the subject property in comparison to C3 is approx. AED 1,360 per sq.mt on leasable area.**

RENT DISCOVERY ASSESSMENT – KHALIFA UNIVERSITY (SAN CAMPUS – RETAIL SPACE)

S.No	Location	Asking/ Transaction	Type	Leasable Area (In Sq.mt)	Annual Rental (AED/Annum)	Rental Value (AED/sq.mt)	Adjusted Rental Value (AED/sq.mt)
1	Khalifa Park	Asking	Unfurnished (Shell & Core)	253	379,500	1,501	1,163
2	Al Raha	Asking	Unfurnished (Shell & Core)	229	342,000	1,494	1,158
3	Al Raha	Asking	Unfurnished (Shell & Core)	396	554,000	1,400	1,190
4	Al Raha	Asking	Unfurnished (Shell & Core)	298	417,200	1,400	1,190
5	Khalifa City A	Asking	Unfurnished (Fitted out)	200	320,000	1,600	1,360

Based on the aforementioned comparable analysis, the average base rental value for the retail spaces pertaining to the subject property is assumed to be in the range of AED 1,238 per sq.mt to AED 1,345 per sq.mt on shell & core basis.

BASE RENTAL OPINION SUMMARY – OFFICE SPACE & RETAIL SPACES IN SAN CAMPUS, KHALIFA UNIVERSITY

COMPONENT	Size & Configurations	LAND STERLING'S OPINION ON BASE RENTAL
Office Spaces	**Cumulative Net Internal Area of approx. 9,517 sq.mt** (spread across various units with size ranging from 4 sq.mt to 193 sq.mt)	Based on our comparable analysis, the average base rental value for office spaces pertaining to the subject property is assumed to be the following: **Shell & Core: Range of AED 753 per sq.mt to AED 861 per sq.mt** **Fitted Out: Range of AED 810 per sq.mt to AED 926 per sq.mt** **Furnished: Range of AED 848 per sq.mt to AED 969 per sq.mt** However, considering the inventory to be offloaded with the competing supply within a stipulated timeframe and the nature of the development (office spaces in an educational development vis-à-vis a typical office space), we are of the opinion that a **discount of 5% will be applicable on the assumed based rental value.**
Retail Spaces	**Cumulative Net Internal Area of approx. 228 sq.mt** (spread across various units with size ranging from 4.5 sq.mt to 150 sq.mt)	Based on our comparable analysis, the average base rental value for the retail spaces pertaining to the subject property is assumed to be the following: **Shell & Core: Range of AED 1,238 per sq.mt to AED 1,345 per sq.mt** **Fitted Out: Range of AED 1,331 per sq.mt to AED 1,446 per sq.mt** **Furnished: Range of AED 1,393 per sq.mt to AED 1,514 per sq.mt**

BASE RENTAL OPINION SUMMARY – OFFICE SPACE & RETAIL SPACES IN SAN CAMPUS, KHALIFA UNIVERSITY

COMPONENT	Size & Configurations	LAND STERLING'S OPINION ON BASE RENTAL
Laboratory Spaces	**Cumulative Net Internal Area of approx. 7,036 sq.mt**	Based on our comparable analysis, the average base rental value for laboratory spaces is estimated to be the following: **Shell & Core: Range of AED 715 per sq.mt to AED 818 per sq.mt** **Fitted Out: Range of AED 787 per sq.mt to AED 900 per sq.mt** **Furnished: Range of AED 823 per sq.mt to AED 941 per sq.mt** However, considering the inventory to be offloaded with niche set of potential target tenants within a stipulated timeframe and the nature of the development (office spaces in an educational development vis-à-vis a typical office space), we are of the opinion that a **discount of 10% will be applicable on the assumed based rental value.**
Venues (Auditoriums)	**Cumulative Net Internal Area of approx. 533 sq.mt**	Based on our comparable analysis, the average base rental value for the venue spaces pertaining to the subject property is assumed to be the following: **Shell & Core: Range of AED 678 per sq.mt to AED 775 per sq.mt** **Fitted Out: Range of AED 610 per sq.mt to AED 697 per sq.mt** **Furnished: Range of AED 779 per sq.mt to AED 891 per sq.mt**

Signed for and on behalf of:

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THANK YOU